



The M&A Process and Hanwha's Acquisition of Ourhome

March 20th, 2025



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Table of Contents

I. M&A Procedure Overview

1. Sell-side M&A Process
2. Buy-side M&A Process
3. Comparison between Sell-side & Buy-side Advisory

II. Defense Strategies

1. Defense Strategies Against M&A
2. Key Differences between Strategies

III. Case Study: Hanwha's Acquisition of Ourhome

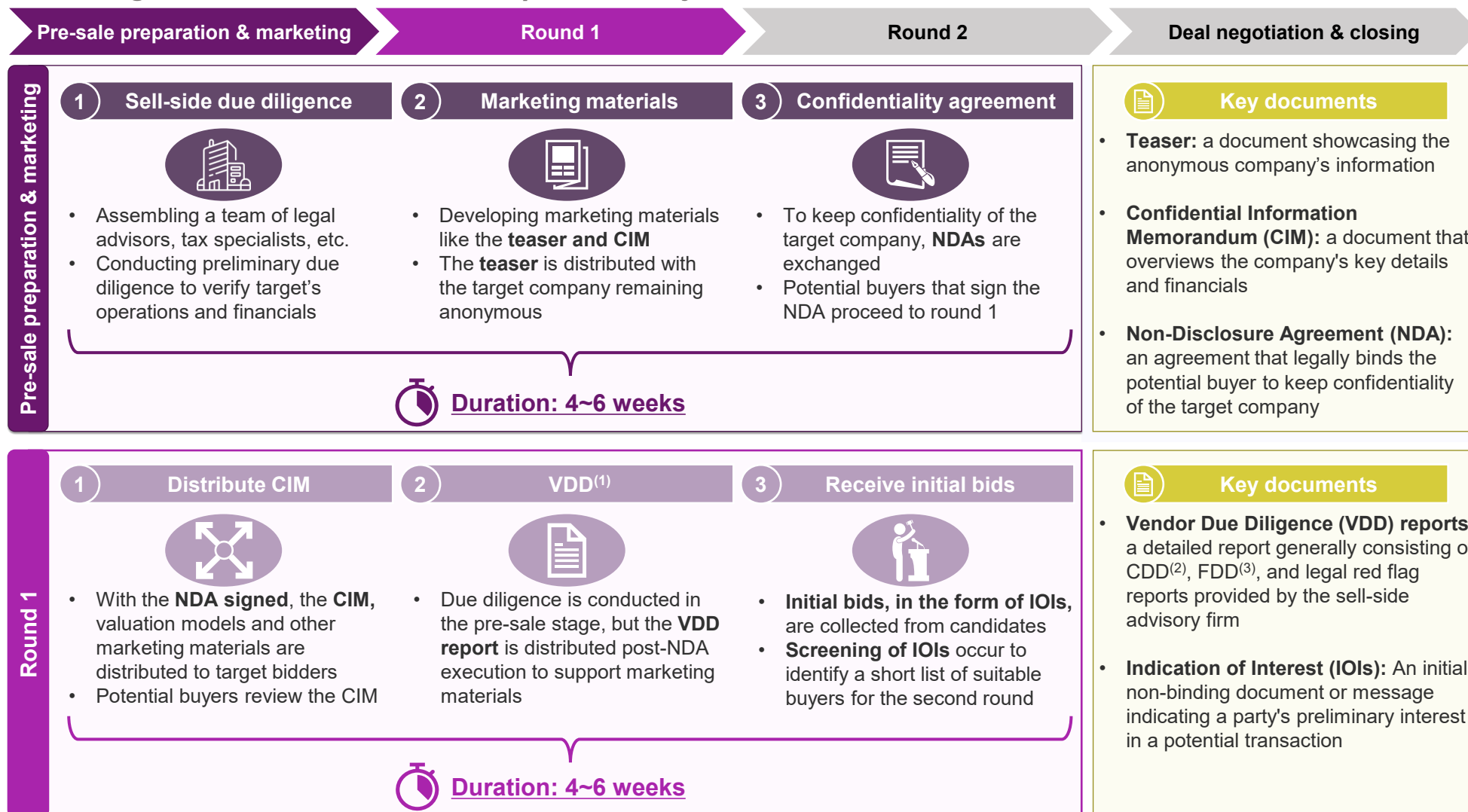
1. Company Snapshot
2. Timeline of Dispute and Acquisition
3. Deal Overview
4. Buy-side Rationale

I. M&A Procedure Overview

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2. Buy-side M&A Process
3. Comparison between Sell-side & Buy-side Advisory

Sell-side M&A Process

The first two stages of the standard sell-side M&A process involve marketing the target company and receiving indications of interest from potential buyers

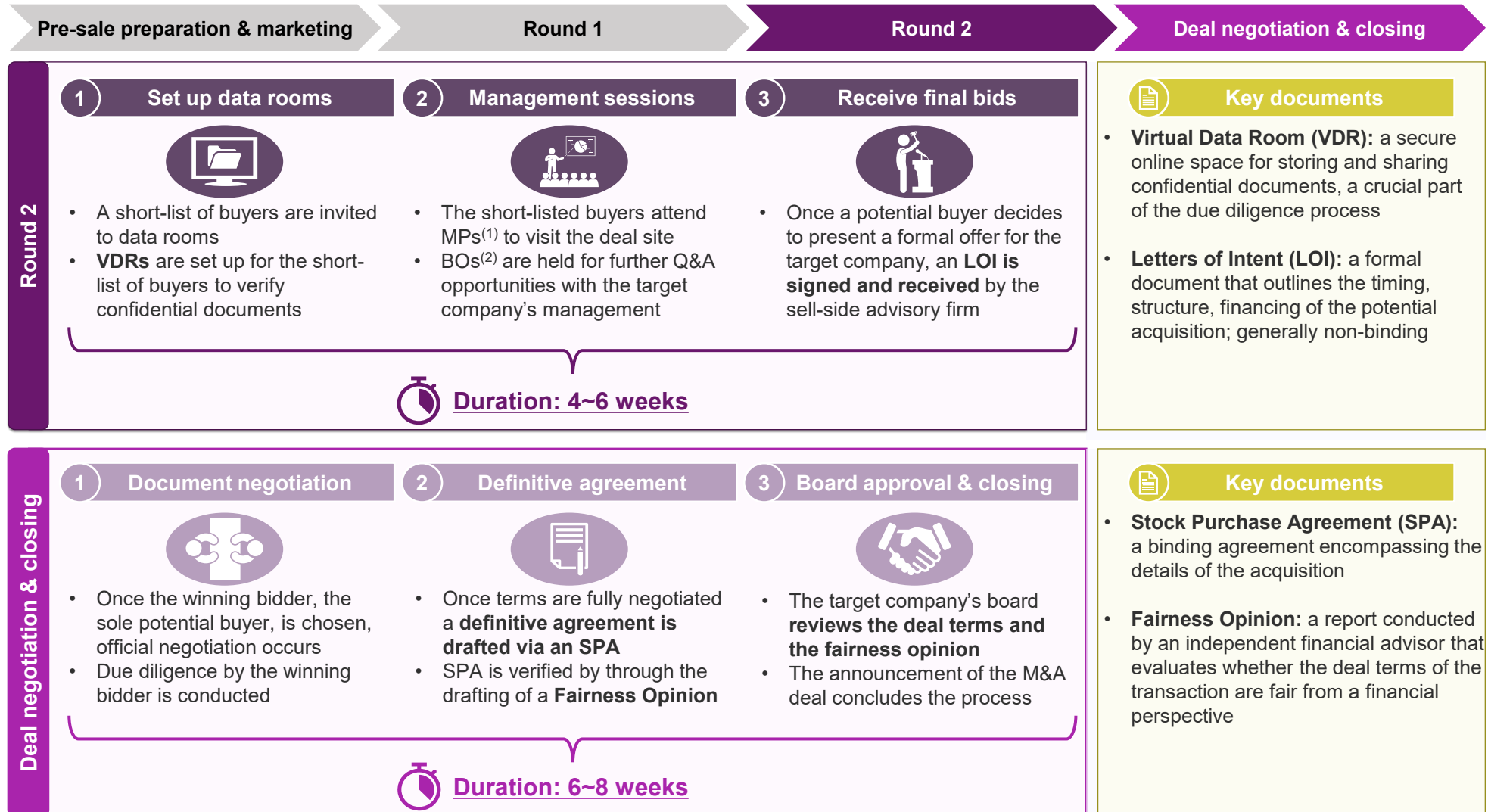


Source: Newsrun

Notes: (1) VDD – Vendor Due Diligence; (2) CDD – Commercial Due Diligence; (3) FDD – Financial Due Diligence

Sell-side M&A Process (Cont'd)

Second round auction consists of in-depth due diligence by potential buyers via management presentations; once a single potential buyer is decided, final negotiations occur culminating in an acquisition



Buy-side M&A Process

The buy-side process can be divided into eight stages with the buy-side firm selecting appropriate targets, contacting the target firms and initiating negotiations, due diligence, finalizing terms and PMI

Phase 1: Pre-SPA/APA draft

1) Select suitable targets

1



- Acquisition decision
- Strategic goals definition
- Target search
- Target selection

2) Initial contact & negotiation

2



- Contact advisor of short-list of target firms
- Sign NDA, receive information memorandum
- Initial valuation

3

LOI submitted



4) Due diligence

4



- Financial DD
- Legal DD
- Tax DD
- Commercial DD

Phase 2: Post-SPA/APA draft

5

SPA/APA⁽¹⁾ drafted



6

6) Pre-close



- Contract drafting and negotiations
- Finalization of commercial and financial terms

7

Deal closed



8

8) Post-merger integration (PMI)



- Implementation of PMI strategies
- Monitoring of deal KPIs

Comparison between Sell-side & Buy-side Advisory

Sell-side and buy-side advisory services have distinct differences in their scope, key deliverables, and fee structures, with prominent rate differences in the success and transaction fee components

Differences in scope, deliverables and fee structure of sell-side and buy-side advisory

	Sell-side advisory	Buy-side advisory
Scope	Preparing the business for sale, marketing to buyers, managing bids, and deal execution 	Target search, valuation, due diligence, negotiation, and financing assistance 
Key deliverables	Teaser, CIM, buyer outreach, auction process management, and deal structuring 	Investment thesis, valuation models, due diligence reports, negotiation strategy 
Fee structure	Higher and more probable success fee (often a percentage of transaction value) 	Relatively flatter retainer + success fee (often based on deal size) 

Sell-side fee structure

Retained fee
(Upfront fee)



Success fee
(% of deal value)



Tail-end fee⁽¹⁾
(Conditional fee)

Success fee range
Fee: 0.5% ~ 5.0%
(Mega deal → smaller deals)

Buy-side fee structure

Retained fee
(Buyer's commitment)



Transaction fee
(% of deal value)



Performance fee
(Reward deal success)

Transaction fee range
Fee: 0.2% ~ 3.0%
(Mega deal → smaller deals)

II. Defense Strategies

1. Defense Strategies Against M&A
2. Key Differences between Strategies

Defense Strategies Against M&A

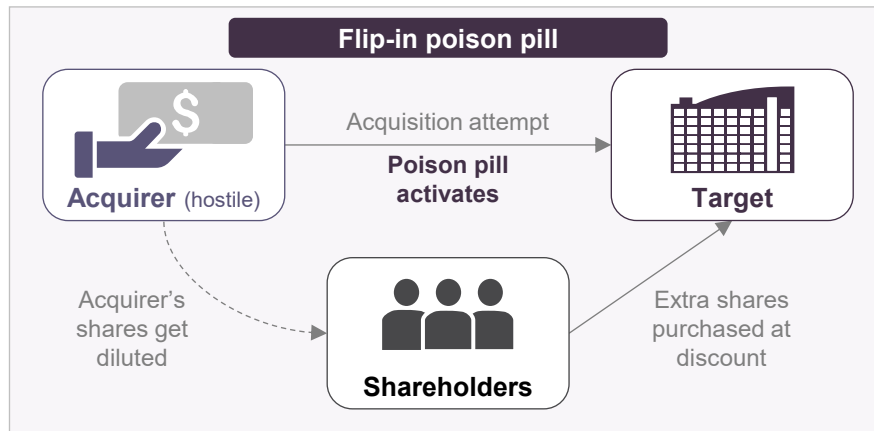
The poison pill, which gives shareholders the right to purchase discounted shares, and the white knight strategy, which relies on friendly alliances, are effective defense measures during a hostile acquisition



Poison pill defense

Definition: a tactic that allows existing shareholders to buy discounted shares if the acquirer's ownership surpasses a predetermined threshold

- ① **Flip-in:** All existing shareholders, except for hostile acquirer, can purchase **additional shares of the target** at a discounted price
- ② **Flip-over:** After the takeover, the right for the target's shareholders to **purchase the acquirer's shares** at discounted prices is triggered



Differences in Korea and USA



- Poison pills are **not legally permitted** under current corporate law in Korea

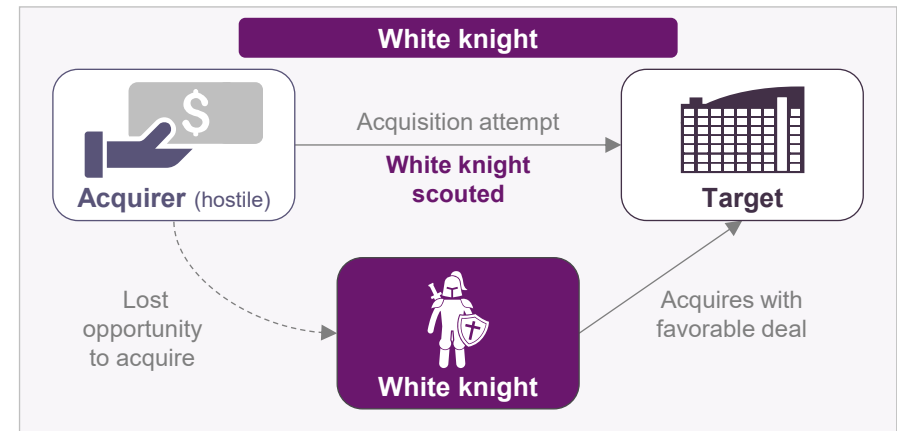


- The poison pill is a **widely used defense mechanism** with a strong record of success



White knight & white squires

- ① **White knight:** A friendly company or investor that **acquires the target firm entirely**, often at a premium or under terms relatively favorable to the target's management and shareholders
- ② **White squire:** A friendly company or investor that **acquires a non-controlling stake** in the target firm, sufficient to block the hostile takeover without fully acquiring the company in exchange for incentives⁽¹⁾



Differences in Korea and USA



- Often acquire treasury shares or swap stakes to form **cross-shareholding networks**



- Usage is rare** due to poison pill and shareholders' rights plans being preferred

Defense Strategies Against M&A (Cont'd)

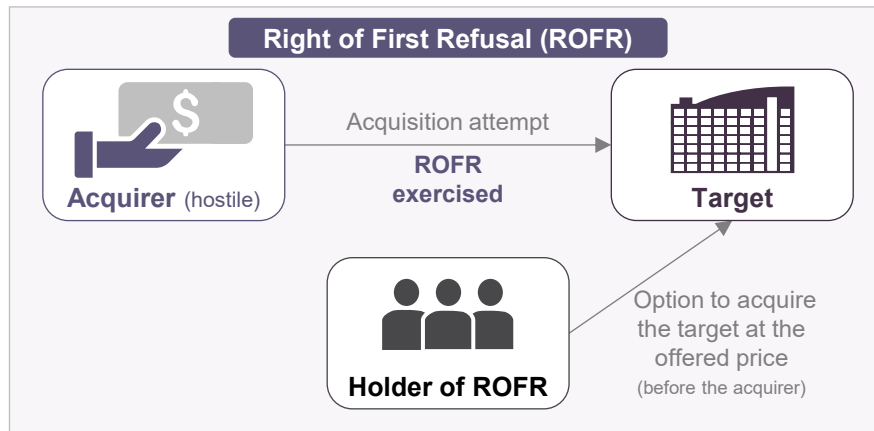
Board level tactics that allow the board to exert more control and golden parachutes that increase the acquisition costs by compensating executives are also commonly used defensive strategies in M&As



Board level tactics

Definition: Tactics implemented by company directors to deter hostile takeovers, leveraging governance structures and legal mechanisms

- ① **Staggered board:** Dividing directors into classes with **overlapping terms**, preventing a hostile bidder from gaining full control immediately
- ② **ROFR⁽¹⁾:** A clause in the amendments that grants the right but not the obligation to the holder for the **purchase of shares at the offer price**



Differences in Korea and USA



- **Amending articles of incorporations** to exercise board control, *such as ROFRs, are common*

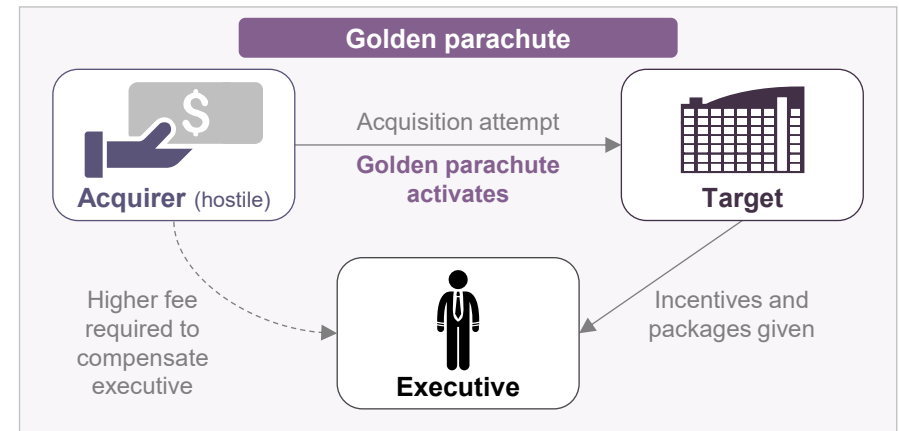


- Firms often **deploy the staggered board tactic** as opposed to amending articles



Golden parachute & ESOP⁽²⁾

- ① **Golden parachute:** benefits – including cash bonuses, severance pay, and stock options – provided to top executives in case the company is acquired, and the executive is terminated due to the acquisition
- ② **ESOPs:** Trust-based plans that allow employees to become partial owners of the company through stock ownership in-case of an acquisition



Differences in Korea and USA



- Emerged in the 2010s but are **rarely used** due to cultural resistance and shareholder backlash

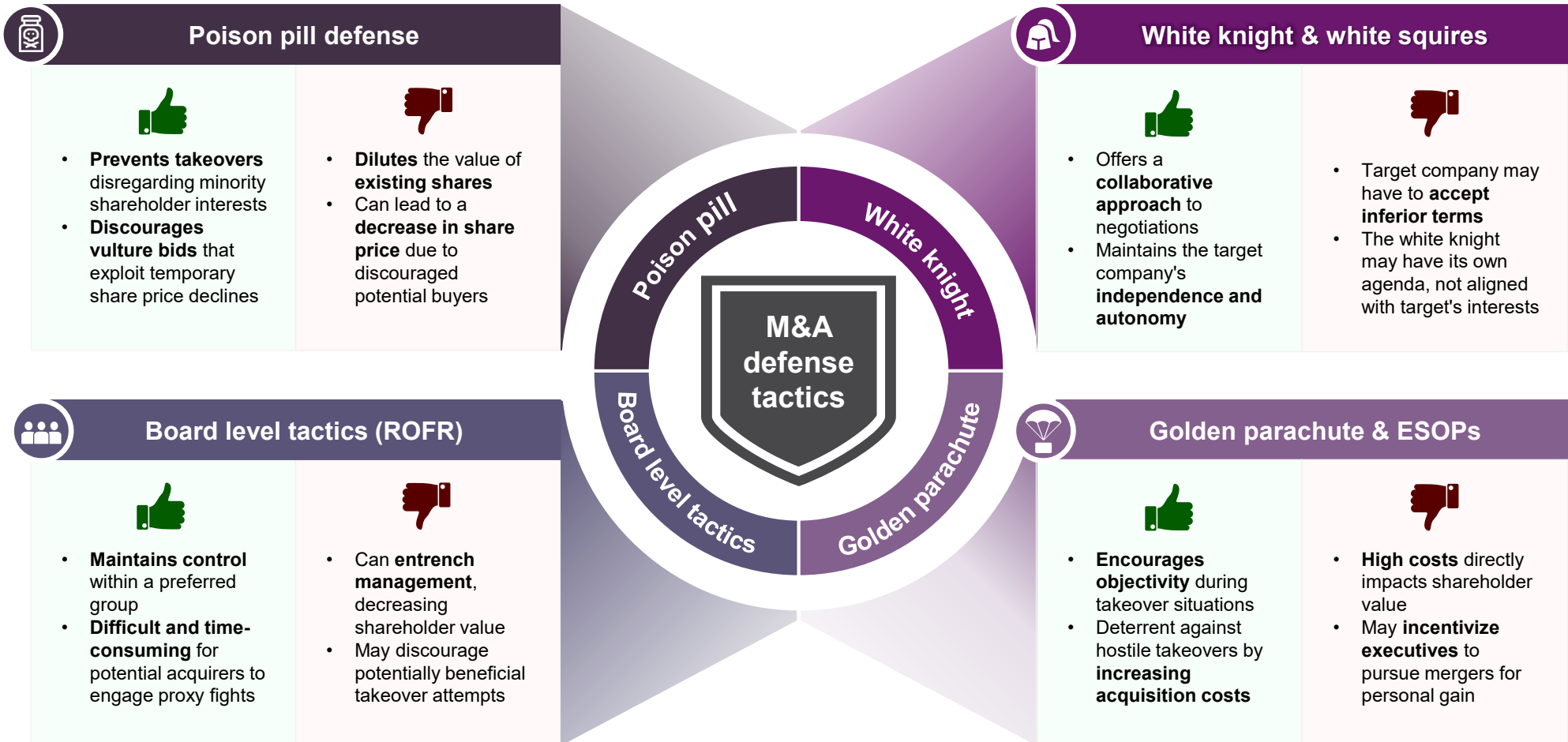


- **Widely adopted**, but criticized for driving excessive M&A activity

Key Advantages and Disadvantages of Each Strategy

Each strategy has distinct advantages and disadvantages, defense tactics deployed by Ourhome, ROFR and the white knight, are effective in maintaining control but may not align with shareholders' interests

Notable advantages and disadvantages of each defense tactic



III. Case Study: Hanwha's Acquisition of Ourhome

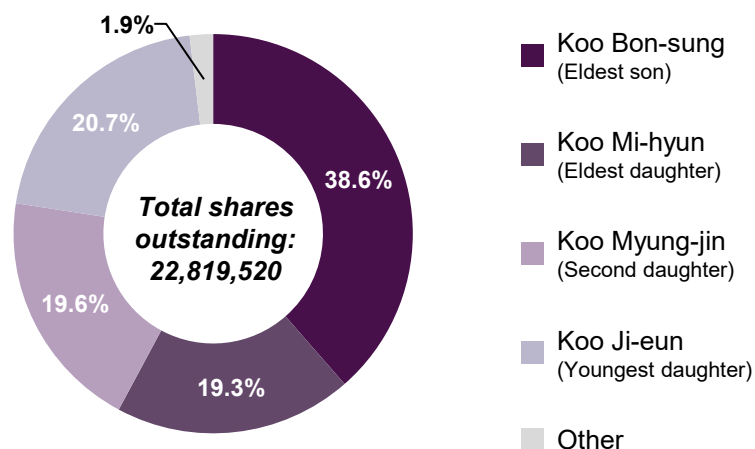
1. Company Snapshot
2. Timeline of Dispute and Acquisition
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Ourhome is the second largest F&B service provider and distributor in Korea and is owned by the Koo family; the Hanwha group has signed a SPA to acquire a 58.62% stake in Ourhome

Company profile

- Established in 2000, Ourhome (or “The Company”) was spun off from the food service division of LG Distribution, which was founded in 1984
- The Company is the second largest F&B distributor domestically, with major business lines in meal-care, ready-meal, and gourmet platforms
- Ourhome has expanded its global presence especially with its success in China, operating in more than 10 major cities within mainland China
- On February 11th, 2025, Hanwha Hotels and Resorts, a subsidiary of the Hanwha group, signed an SPA to acquire a 58.62% stake in Ourhome
- Majority of the acquiring stake is from the eldest son, Koo Bon-sung, and the eldest daughter, Koo Mi-hyun, amounting to 57.84% of the TSO⁽¹⁾
- The acquisition is the culmination of a 10-year dispute between the siblings of the Koo family, which arose due to disagreements for the chairman position

Shareholding structure



Source: DART, Company Filings, Newsrun
Notes: (1) TSO – Total Shares Outstanding

Key financials

(KRWbn)	FY19	FY20	FY21	FY22	FY23
Revenue	1,879	1,625	1,741	1,835	1,983
<i>Growth (%)</i>	7.0%	(13.5%)	7.1%	5.4%	8.1%
Gross Profit	353	278	317	350	405
<i>Margin (%)</i>	18.8%	17.1%	18.2%	19.1%	20.4%
EBITDA	72	(9)	26	54	94
<i>Margin (%)</i>	3.8%	(0.6%)	1.5%	2.9%	4.8%
EBIT	72	(9)	26	54	94
<i>Margin (%)</i>	3.8%	(0.6%)	1.5%	2.9%	4.8%
Net Income	48	(5)	5	26	71
<i>Margin (%)</i>	2.6%	(0.3%)	0.3%	1.4%	3.6%
Total Assets	1,226	1,842	1,411	1,433	1,387
Total Liabilities	570	1,234	861	852	736
Net Debt	284	376	390	345	202

Business overview

Top business segments

Meal-care business



- Total F&B solution provider** to company cafeterias, schools, hospitals, and hotels

Ready-meal solution



- Home-meal replacement provides **ready-cooked foods** such as kimchi, fresh hams, soup and stews

Gourmet platform

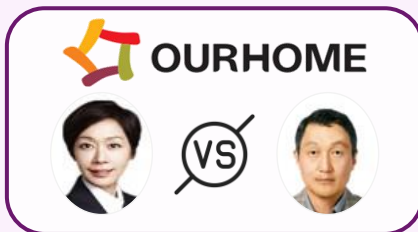


- Operates **casual and fine-dining restaurants**, concession shops for malls, resorts, and hotels

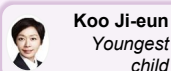
Koo Family's Dispute and Acquisition Timeline

The Koo family has had disputes for over 10 years leading to frequent changes in management, culminating in the sale of a majority stake of the Company to the Hanwha group

Koo family dispute



Parties involved



Koo Ji-eun
Youngest child



Koo Bon-sung
& Koo Mi-hyun

VS
Koo Ji-eun



Koo Bon-sung

VS

Koo Ji-eun &
Koo Mi-hyun



Koo Bon-sung
& Koo Mi-hyun

VS

Koo Ji-eun

- 2015** • Koo Ji-eun, the VP⁽¹⁾ at the time, was named the **likely heir of Ourhome** due to her long-term involvement in management
- 2016** • Koo Bon-sung was abruptly chosen to be **chairman** as Koo Mi-hyun also voted for her brother to achieve over 50% of shareholders' votes
 - Koo Ji-eun was first named as the head of Kalisco⁽²⁾ but was soon **ousted from the company**
- 2021** • Koo Bon-sung was charged for **6-months in prison** due to a road rage incident
 - Koo Mi-hyun sides with her sisters to **remove Koo Bon-sung** from the chairman position
 - Koo Ji-eun becomes the chairman of Ourhome**
- 2024** • Koo Bon-sung returns as chairman after Koo Mi-hyun sides with him to overthrow Koo Ji-eun
 - Koo Bon-sung and Koo Mi-hyun actively look to sell their stake in Ourhome after a failed attempt in 2022

Acquisition timeline



Parties involved



Hanwha
Hotels&Resorts



AFFIRMA
CAPITAL



IMM CS



Hanwha
Hotels&Resorts

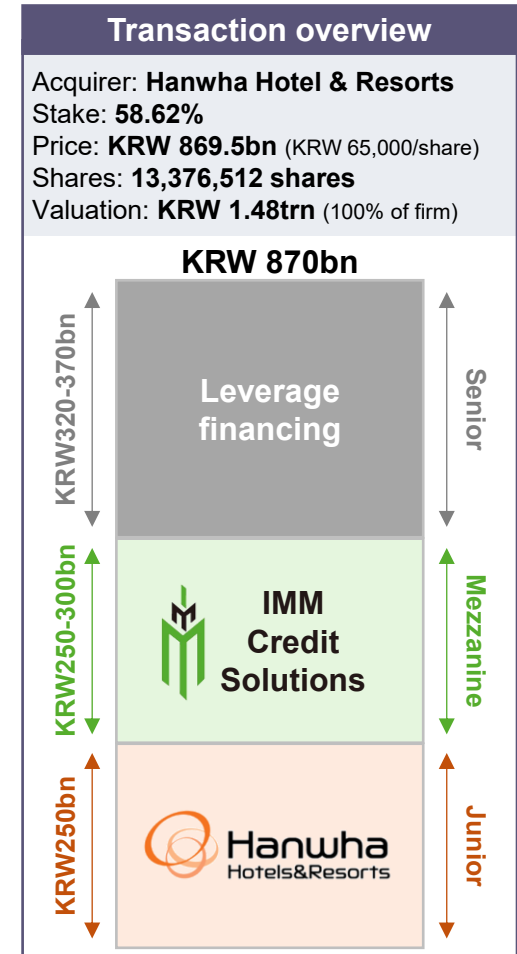
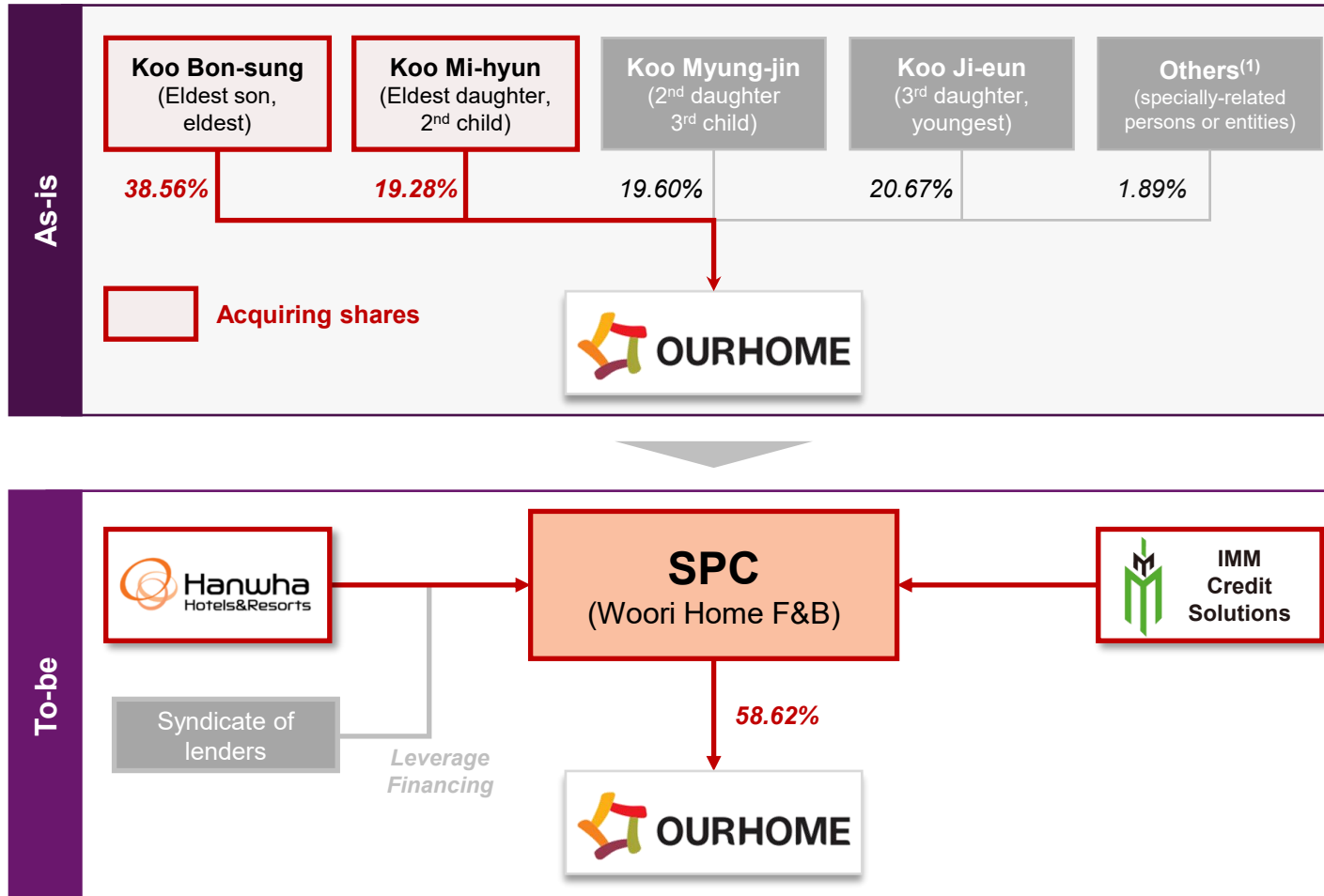
OURHOME

- Dec. 2024** • Hanwha Group officially inquires and initiates the acquisition of Ourhome
- Jan. 2025** • **MOU⁽³⁾ signed** *Deployment of defense strategy attempted*
 - Koo Ji-eun reaches out to **Affirma Capital** to act as **white knights to exercise the ROFR**
 - Affirma Capital was willing to invest up to KRW 500bn but extra funds were required to match offer
- Feb. 2025** • The decision to form an SPC is confirmed
 - IMM Credit Solutions** to invest KRW 250~300bn in the SPC as a financial investor (FI)
 - The **SPA for a 58.62% stake for KRW 869.5bn** is signed, computing a valuation ~KRW 1.5trn
- Apr. 2025** *Expected* • If Koo Ji-eun does not exercise the ROFR, the acquisition will proceed as planned (*Likely outcome*)
 - 1st round of the stock acquisition of 50.62%** is scheduled to occur on April 29th, 2025

Deal Overview

Hanwha Hotel & Resorts is acquiring a 58.62% stake in Ourhome; both acquisition financing and straight cash is expected to be used along with mezzanine financing provided by IMM Credit Solutions

Deal Structure



Source: DART, Newsrun

Notes: (1) Of the shares allocated to "Others", 0.78% of shares are expected to be acquired along with Koo Bon-sung and Koo Mi-hyun's shares, adding up to 58.62%

Buy-side Rationale

Hanwha Group is engaging in the acquisition of Ourhome due to the rarity of a major F&B provider available for sale, potential synergy effects, and size up opportunities to execute succession plans

One & only major F&B provider available for buyout

Hanwha's acquisition of Ourhome

Size up opportunity to increase successor's stake

Feasible target with strong synergy potential

Ourhome: only top 5⁽¹⁾ F&B provider for sale

Company	Revenue (KRWbn)	Total assets (KRWbn)	Ownership structure ⁽²⁾ (stake, %)
HYUNDAI GREEN FOOD	1,827	880	Hyundai GF Holdings (38.1%)
SAMSUNG WELSTORY	2,864	1,004	Samsung C&T (100%)
CJ FRESHWAY	3,074	1,375	CJ Group (47.1%)
SHINSEGAE FOOD	1,489	875	Emart (46.9%)
OURHOME	1,983	1,387	Koo family (98.1%)

Only target available for buyout

Major applicable synergy effects



9 factories and 14 logistics centers nationwide



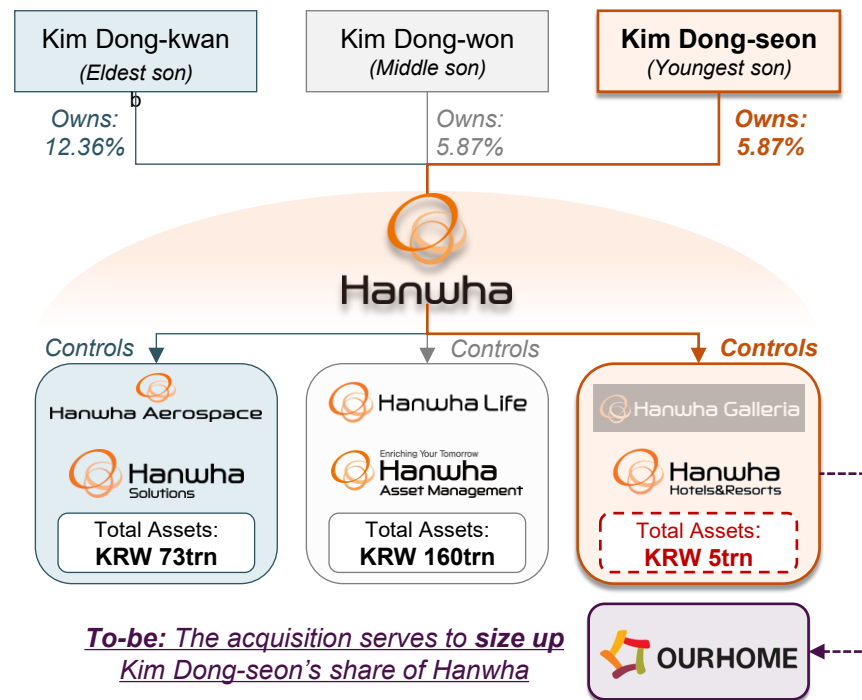
Value-up strategy via food tech strategy implementation



Global expansion potential via international distribution

Succession plan-related implications

Ownership and control of each successor





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